PlanFit: clearer mobile-plan decisions for Spark customers

Phase 0: NZ$120k to test the customer response

DECISION TODAY

NZ$120k

Mechanism and controls

M1 GATE

Phase 1: $280k

Separate approval

or Stop

LATER PHASES

NZ$1.600m

After separate gates

Current conditional base NPV: −NZ$1.114m

Evidence first, then a separate funding decision.

Planning assumptions require Spark validation. All amounts in NZ$.

Spark’s group mobile lead narrowed

A narrower market lead makes the retention decision worth testing.



One NZ: 37% in June 2025. Commerce Commission (2026), pp. 213–216.

SPK-30 prioritises customer experience

Core connectivity and better customer experiences guide the proposal.

FY26 MOBILE SERVICE REVENUE

+1.1%

to NZ$998m

BROAD CONSUMER & SME iNPS

+42

Portfolio-wide measure

VALUE DISCIPLINE

Customer intimacy

One customer decision

Spark (2026a), pp. 4–5, 10–11, 21; (2026b), pp. 7, 12–14. Lecture 3, slide 11.

Spark-brand consumer plan-value review

From a recognised mismatch or review request to a decision.

Enterprise / SME

Skinny / MVNO

Spark-branded NZ individual-consumer

pay-monthly + prepaid plan review

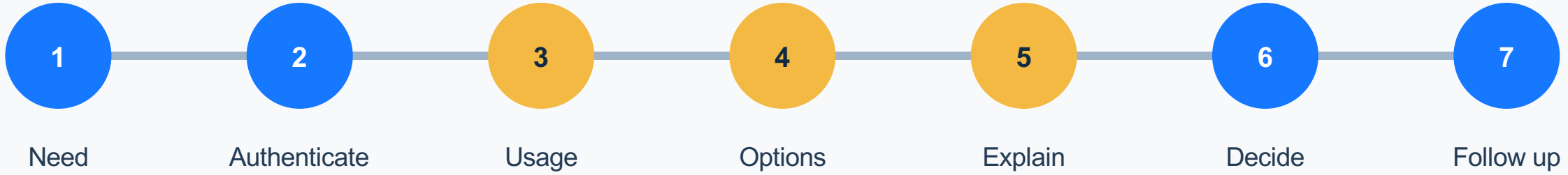
Network remediation

Wholesale

Spark-brand NZ individuals only. A proposed process boundary.

A clear conclusion at the decision point

Build on the public plan-change path; validate internal hand-offs in Phase 1.



Proposed: a timely, transparent fit conclusion

Spark, Change mobile plan (n.d.); Commerce Commission (2025), pp. 7–9.

Test decision readiness, then retention

Two tests answer different questions about customer value.

DECISION READINESS

Does an explained output improve decision readiness?

Interview-testable perception

SEPARATE TESTS

RETENTION

All qualifying voluntary 90-day churn ↓ ≥15%?

All assigned; avoidable secondary

H1M: decision readiness. H1Q: causal churn reduction among eligible assigned starters.

Clear reasons and a no-change option

Ryan Li: one consumer-proxy interview informing the mechanism test

ONE INTERVIEW CASE

3/5 → 4/5

Reasoning + no-change mattered

PHASE 0

Test the mechanism

Beyond one participant

Controls intact

PHASE 1, THEN PILOT

Validate process

Then test H1Q

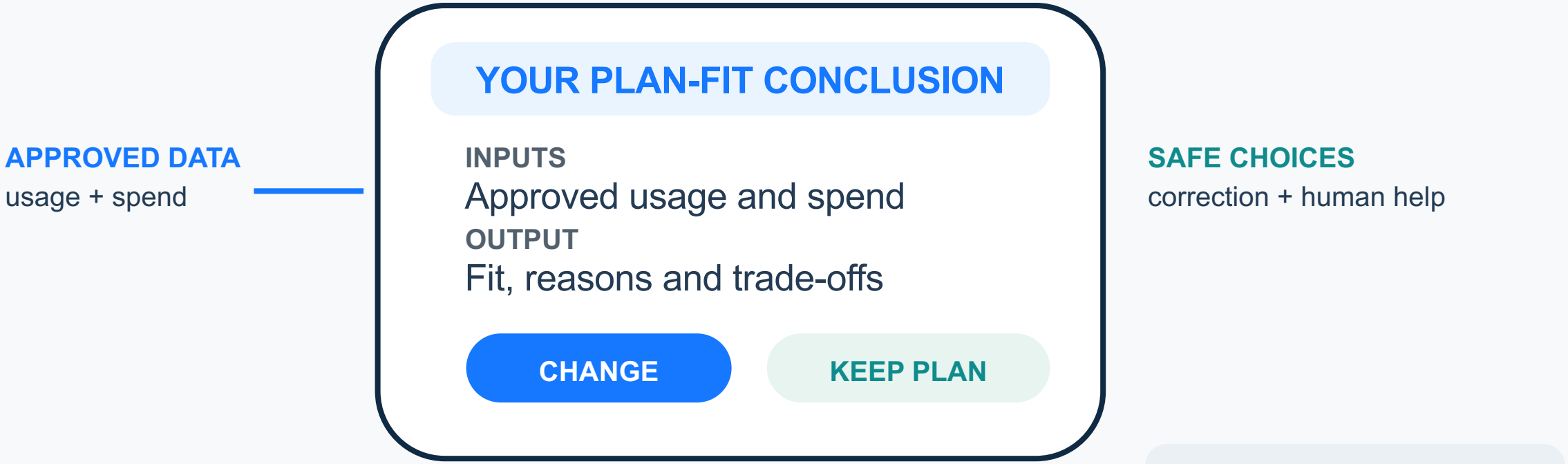
Causal churn outcome

Measured at 90 days

Single-case mechanism evidence. A1-D2 interview, 21 Aug 2026.

An explainable plan-fit decision

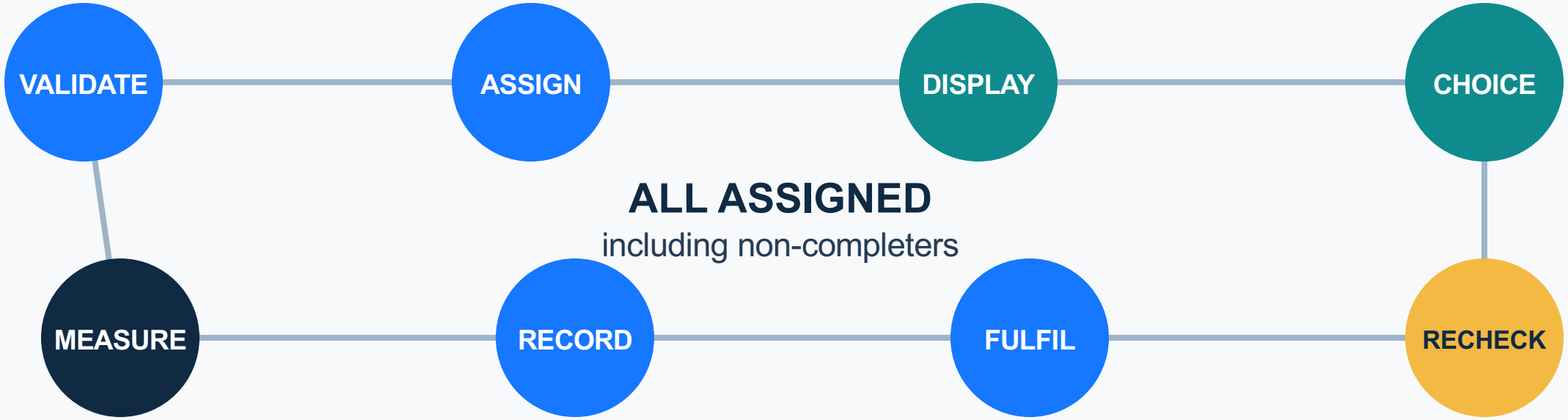
Rule-based MySpark concept within eligible Spark plans



Fictional concept. Keeping a suitable plan counts as success.

A fair comparison with safe choices

Assign before display. Hold timing, data, options and help constant.



Raw or explained output. Keep, change, defer, help or exit. Measure every assignment at 90 days.

Judge retention and diagnose the process

The churn result drives the decision; delivery and acceptance explain the process.

ALL QUALIFYING

≥15%

90-day voluntary churn
Relative reduction, all assigned

DELIVERY / REACH

≥60%

Assigned output displayed
and recorded / review starts

ACCEPTANCE REF.

≥20%

Explicit treatment acceptance
Diagnostic, not a sales target

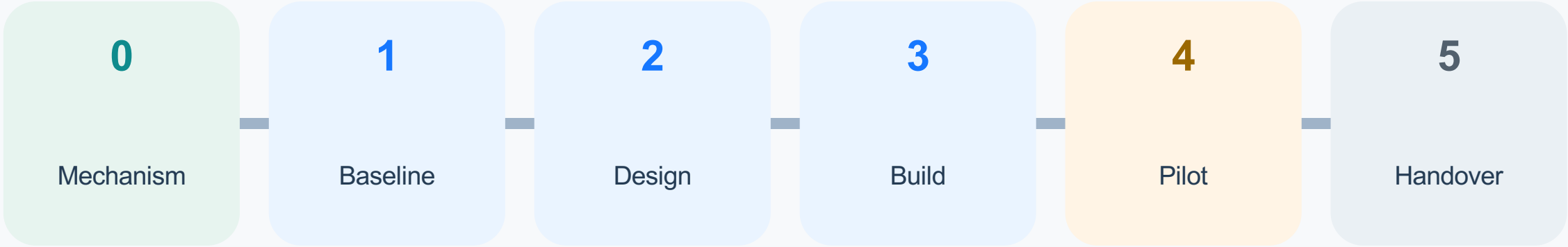
CONTINUATION: M6A

95% CI lower bound >0, data, power, guardrails and economics

20% is not a standalone gate. Track fulfilment separately.
Guardrails: contribution/ARPU, trust/complaints, privacy/security and suitability.

Six stages across thirty-nine weeks

5 October 2026 to 30 June 2027. Each release requires evidence.

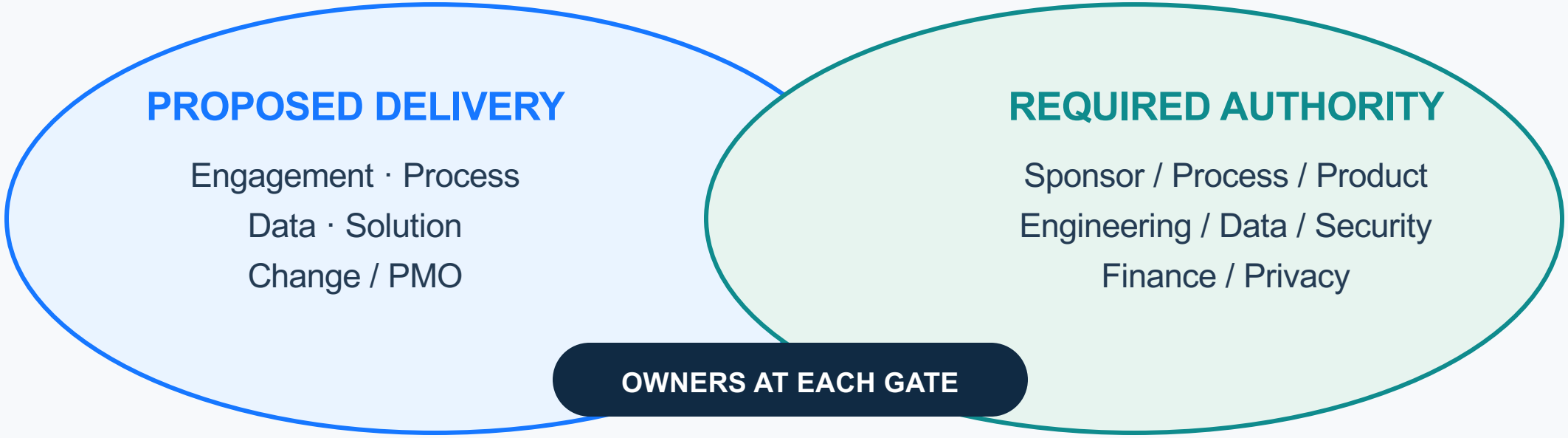


3-WEEK COHORT, THEN 90-DAY MATURATION

Year-end freeze retained. M7 may permit capped continuation only. Lecture 7, slides 31–40, 47–48.

Clear ownership and a usable handover

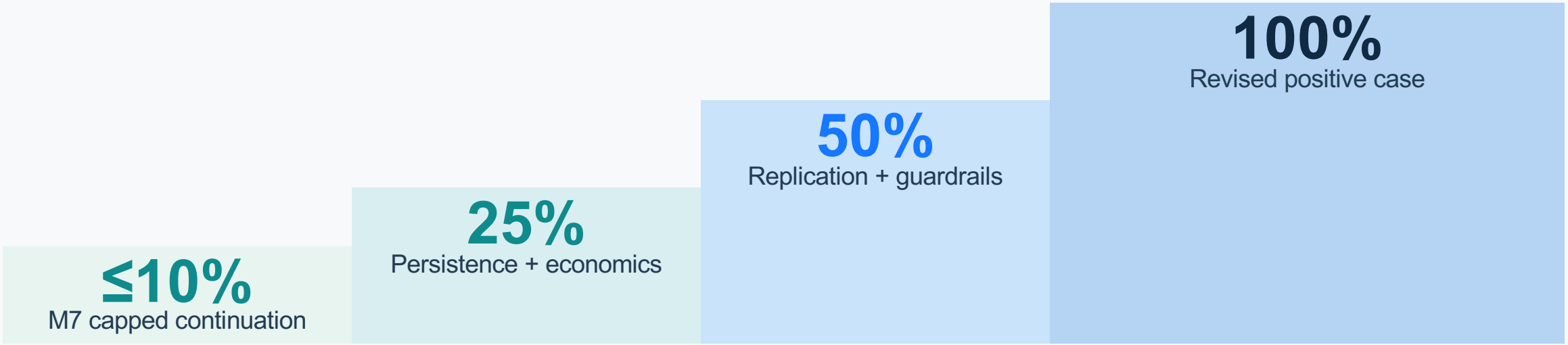
Fictional consulting team proposed for this engagement



Handover: reproduce the analysis and demonstrate rollback.
Spark appointments pending. A2-D1, §11.2.

Train the team, then expand in stages

Practise explanations, corrections and escalation before release.



Comparator only inside pilot. Proposed exposure waves. Lecture 7, slides 31–40, 47–48.

Risk triggers and stop rules

A failed gate narrows, extends or stops work without weakening the test.

Strategic mismatch

Trigger: mechanism unsupported

Redesign or stop

Invalid data / power

Trigger: quality gate fails

Repair before pilot

Unsuitable conclusion

Trigger: guardrail breach

Suppress output

Interface failure

Trigger: reconciliation breach

Stop fulfilment

Privacy harm

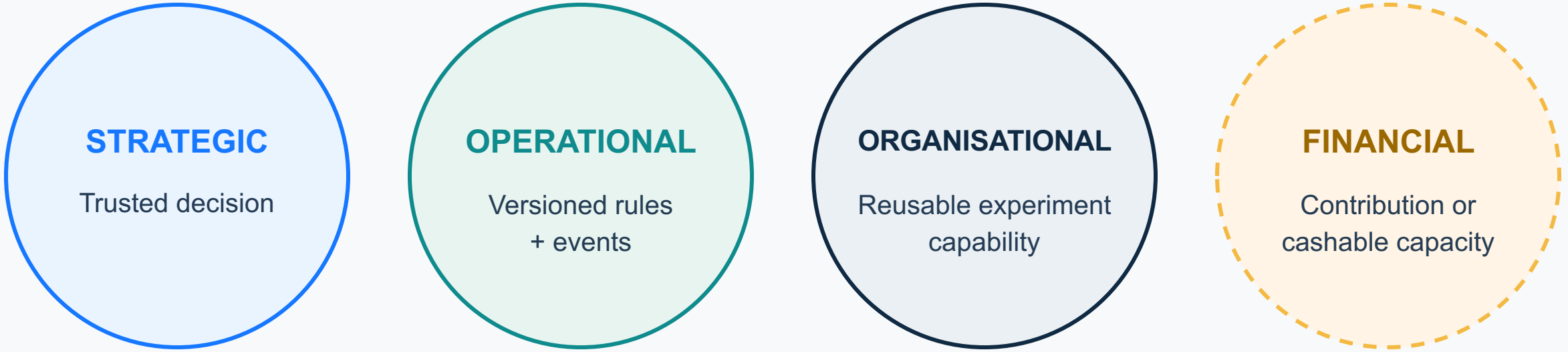
Trigger: severe incident

Stop exposure now

Each risk has an owner, trigger and contingency. Scott and Vessey (2002), pp. 74–81.

Customer and business value

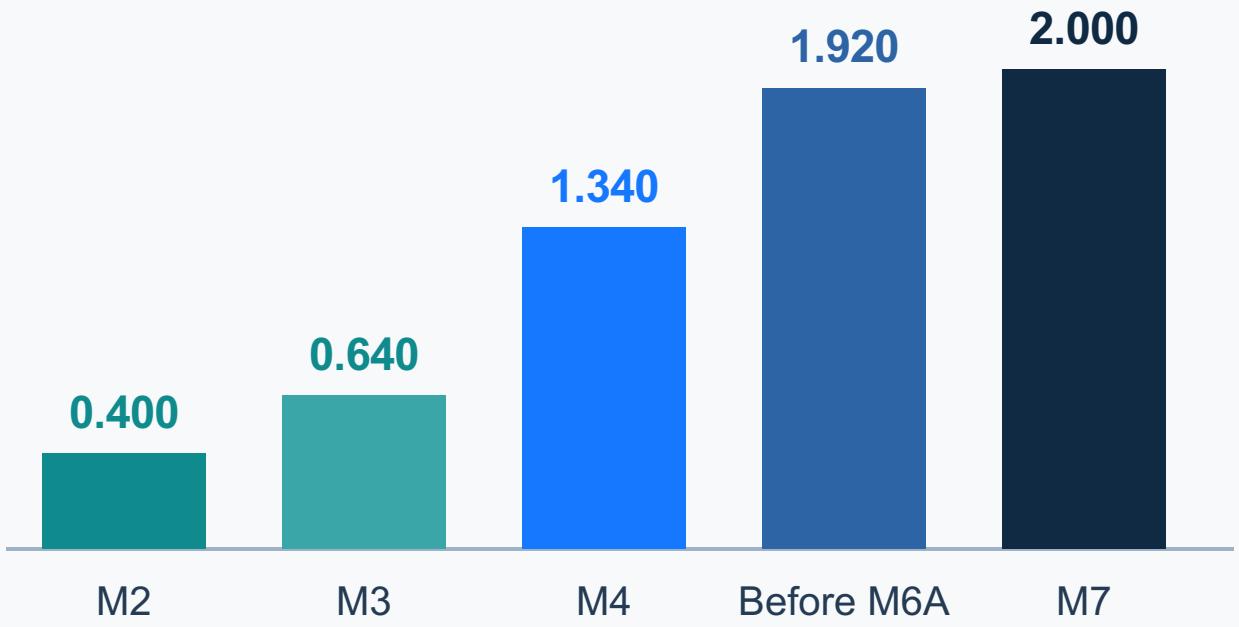
Clear customer decisions, consistent support and reusable delivery capability.



Finance recognises benefits after evidence-owner validation

NZ$120k first, then separate releases

Phase 0 $0.120m; Phase 1 adds $0.280m after M1. Cumulative spending: NZ$m.



NZ$2.000m: TWO VIEWS

Fees .420	Client / third party 1.580

Capex .900	Impl Opex 1.100

Recurring Opex: NZ$0.650m/year

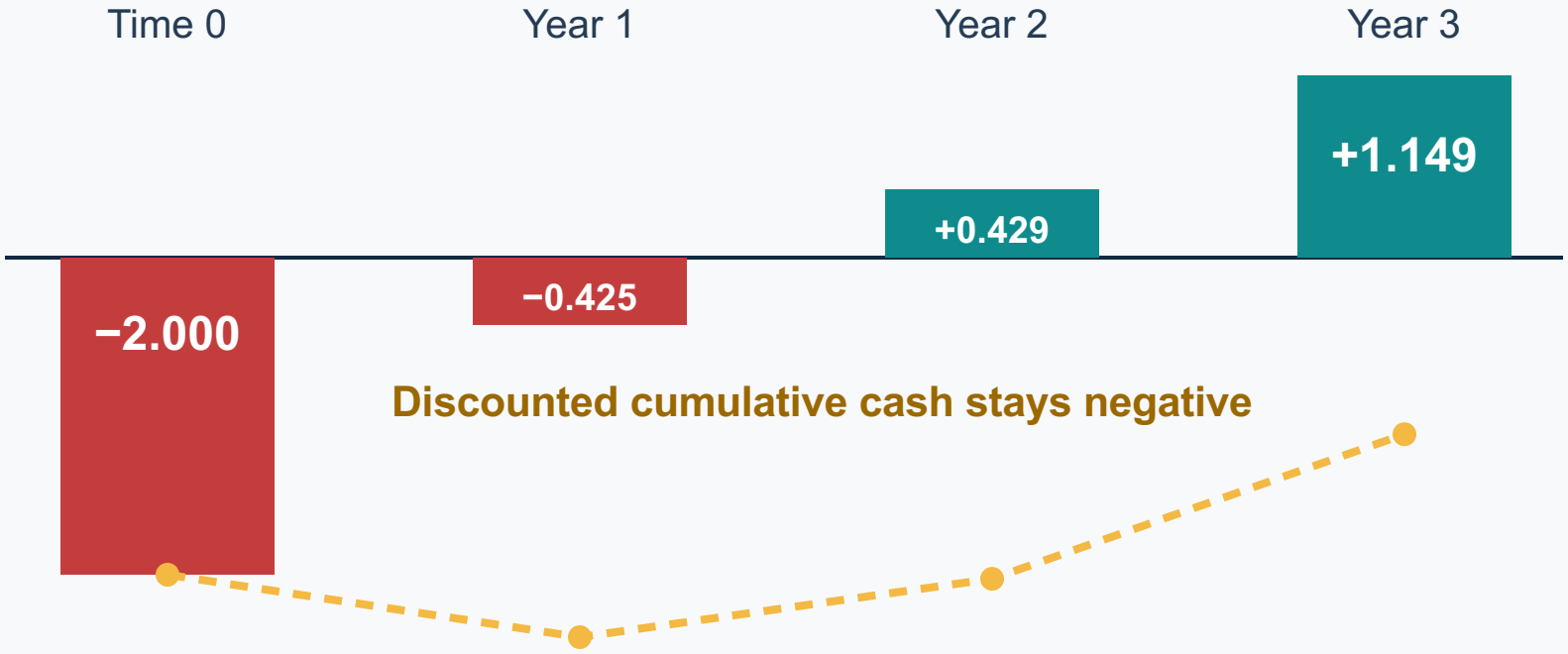
Recurring cost, outside implementation envelope

Conditional exposure at each gate. Fees/capacity and Capex/Opex are alternative splits.

Base net present value: −NZ$1.114m

Three-year annual model at 8% · A2-D1, Tables 12–15

Benefit/cost ratio	Return on investment	PAYBACK
0.70	−21.5%	Not within 3 years



Annual average exposure: 12.5% / 60% / 100% · distinct from rollout gate caps

Assumes day-365 persistence + fully cashable contact capacity

What changes the financial outcome

Conditional scenarios · A2-D1, Tables 12–15 · not a Spark forecast



VALIDATE: volume · causal effect · contribution · persistence · cashability

NPV in NZ$m · conservative and base remain negative in the current model

The first two approval decisions

Target 5 October. M1: mechanism, governance and data access.

PHASE 0 ONLY

NZ$120k

Fees $50k / capacity ≤$70k

M1: 23 OCT

Phase 1: $280k

Separate authorisation

M2: DESIGN

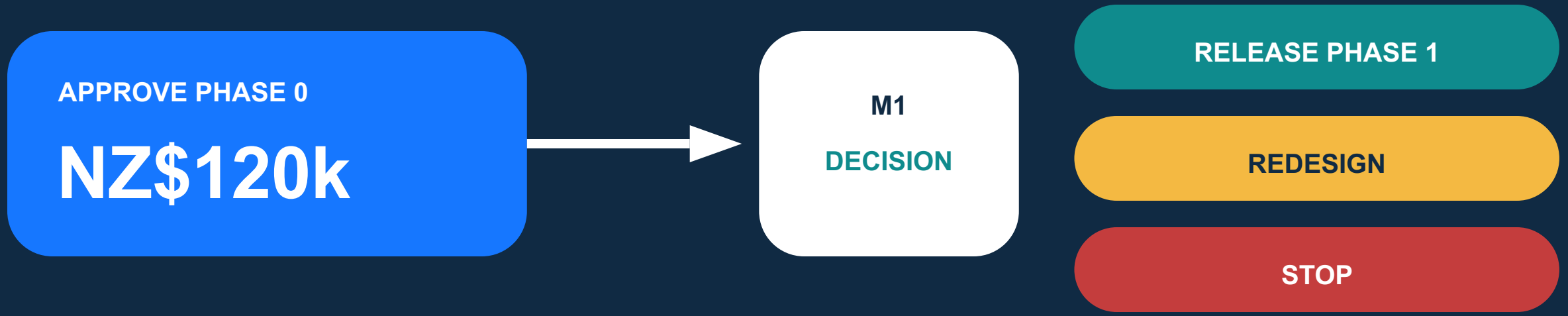
REDESIGN

STOP

M2, 20 Nov: validate the process, baselines and power.
Finance must accept NPV ≥0 and BCR ≥1 before design.

Phase 0: a defined package for NZ$120k

Test the customer response and establish the delivery controls.



Customer verdict · Agreed charter
Approved measures and controls

Use the M1 evidence to authorise Phase 1 separately, redesign or stop.